

Retirement CARE Analysis™: Reviewing Asset Allocation in the Context of the Overall Retirement Plan and RIO-Map™

How should a retiree choose an initial spending rate and asset allocation? Thus far, I have discussed the remaining theory related to thinking about the investment portfolio within the context of the retiree's overall asset base. This built on previous chapters, which investigated the classical withdrawal rate studies and the implications of changing various assumptions within those studies. Then I described the practical framework we developed at McLean Asset Management to guide real retirees through this process.

In chapter 6, I introduced the Retirement CARE Analysis as the way to begin thinking about an appropriate personalized withdrawal strategy in retirement. To conclude this chapter, it is worthwhile to revisit the Retirement CARE Analysis, as it effectively summarizes everything we have discussed. It provides the details for how to decide on the aggressiveness of both spending and asset allocation within a retirement income plan. Because these matters have already been discussed, at this time I will simply review the Retirement CARE Analysis in Exhibit 8.6. This is a listing of the important factors to consider.

Exhibit 8.6

The Retirement CARE Analysis™

Capacities (Resiliencies)

Reliable income	What proportion of your spending goals are covered through reliable income sources from outside the investment portfolio that will not be diminished by market downturns?
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Spending flexibility	Is it possible to reduce portfolio distributions by making simple lifestyle adjustments without significantly harming your standard of living?
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